FALLEN EMPIRES

M.C. Squares: the Shark Tank deal sheet

A short, sourced recap of what happened to M.C. Squares (reusable whiteboard sticky notes) after its Shark Tank pitch. Facts only, not investment advice.

The numbers

| Step | What happened | Source |

|---|---|---|

| The ask (May 2020) | $300,000 for 10% (a $3 million valuation) | CNBC, May 14, 2020 |

| On-air deal | Kevin O'Leary: $300,000 for 25% (a $1.2 million valuation) | CNBC, May 14, 2020 |

| Signed deal (July 2020) | Different from TV: reported as $50,000 for 11% | BusinessDen, Sept 22, 2020; Baker City Herald, Jan 2024 |

| Filing | Chapter 11, U.S. Bankruptcy Court, District of Colorado, Dec 22, 2023 | Baker City Herald; BusinessDen |

| Debts vs assets | About $3.3 million owed to 43 creditors; about $900,000 in assets (another report says about $3.4 million) | BusinessDen; Baker City Herald |

| Losses | $5.7 million in operating losses listed in the filing | Baker City Herald |

| O'Leary exposure | O'Leary Productions listed as a creditor, owed $33,657 | Baker City Herald |

The company said it intends to reorganize.

3 things this case shows

1. **TV terms and signed terms can differ.** Valuation is the amount divided by the share: $300,000 / 25% = $1.2M, but $50,000 / 11% is about $455K.

2. **Attention is not cash flow.** Revenue has to cover costs; the filing lists $5.7M in operating losses.
3. **Read the filing, not the headline.** Numbers differ slightly between reports, so say "about" and name the source.

2 mistakes to avoid

1. Assuming the on-air deal is the real deal.
2. Treating an investor's name as a guarantee of survival.

Glossary

- **Valuation**: what a company is worth, implied by price paid divided by the share bought.
- **Chapter 11**: a U.S. bankruptcy process that lets a company restructure and keep operating while it pays creditors over time.
- **Operating loss**: money lost from running the business, before one-off items.
- **Creditor**: anyone the company owes money.

Sources: CNBC (2020/05/14, why Kevin O'Leary did a six-figure deal for sticky notes); BusinessDen (Sept 22, 2020, and Jan 4, 2024); Baker City Herald (Jan 2024).

Free guide from Fallen Empires. Information only, not financial, legal or medical advice.